

Corporation Act, 1964

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 5

Corporation Act, 2021

Royal Seal and Publication Date

2021.6.17

Amending Acts

1. Repeal and Amendment Act, 2022 2022.12.10
2. Corporation (First Amendment) Act, 2030 2030.5.15
3. Judicial Administration Reform Act, 2031 2031.4.18
4. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.7.24
5. Judicial Administration Act, 2048 2048.2.16

Certification and Publication Date

6. Republic Strengthening and Certain Nepal Laws Amendment Act, 2066 2066.1.07
7. Certain Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 23 of the year 2021

An Act Made to Provide for Matters Relating to Corporations

Preamble: Whereas it is desirable to bring uniformity by making some necessary legal provisions relating to corporations established by the Government of Nepal,

This Act is made by His Majesty King Mahendra Bir Bikram Shah Dev on the advice and with the consent of the National Panchayat. 1. Short Title and Commencement: (1) This Act may be called the "Corporation Act, 2021".

(2) This Act shall come into force immediately. 2. Definitions: In this Act -

(a) "Corporation" means a corporation established pursuant to section 3.

(b) In relation to any corporation, "Board of Directors" or "Director" means the "Board of Directors" or "Director" of that corporation.

(c) "Concerned Department" means the concerned department of the Government of Nepal or any other department or official designated by the Government of Nepal by notification published in the Nepal Gazette.

3. Establishment of Corporation: (1) If the Government of Nepal considers it necessary or expedient to carry out any work that is in the national interest or for the health, convenience, or economic interest of the general public through a corporation, the Government of Nepal may, after publishing a notification in the Nepal Gazette specifying the following matters, establish and constitute such a corporation:-

- (a) Name of the corporation,
- (b) Place and address of the principal office of the corporation,
- (c) Objectives of the corporation, and
- (d) Names, addresses, and occupations of the members of the Board of Directors of the corporation.

(2) The corporation shall be Amended by the Repeal and Amendment Act, 2022. a body corporate with perpetual succession and shall have a separate seal for all its activities.

(3) The corporation may acquire, hold, and transfer or receive movable and immovable property in any manner like a natural person.

(4) The corporation may sue and be sued in its own name. 4. Board of Directors: (1) Every corporation shall have such number of Directors nominated by the Government of Nepal as may be specified by the Government of Nepal.

Among such Directors, the Director designated by the Government of Nepal shall be the Chairperson. (2) Directors shall hold office for such period as the Government of Nepal may wish. (3) If the office of any Director becomes vacant by reason of death, resignation, or any other cause, and the Government of Nepal nominates another person to fill such vacancy, a notice of that fact including the name, address, and occupation of such Director shall be published in the Nepal Gazette. 5. Disqualification for Director: The following persons shall be disqualified from being a Director of any corporation:- (a) A person who has not attained the age of twenty-one years, (b) A lunatic, (c) A person who has been convicted by a court of an offence of theft or fraud of any kind, or of taking or accepting a bribe, or of unauthorized destruction or misappropriation of property in his or her custody, (d) A person who has been declared insolvent or has been adjudicated an insolvent, (e) A person who has any private interest in any contract, lease, or agreement with the corporation. 6. Powers and Duties of Board of Directors: The Board of Directors of a corporation shall exercise all powers and perform all duties vested in the corporation under this Act or the regulations made under this Act. 7. Change of Objectives or Functions of Corporation: (1) If at any time it becomes necessary to make any change in any objective of the corporation or any work or activity specified to be carried out by the corporation, the Board of Directors may, stating the reasons, submit a report to the Government of Nepal for approval thereof, and upon receipt of such report, if the Government of Nepal considers it reasonable, it may grant approval thereof. (2) After approval by the Government of Nepal pursuant to sub-section (1), a notice regarding the objectives and work and activities of the corporation shall be published in the Nepal Gazette and in major newspapers, and only after such notice is published may the objectives or work and activities of the corporation be changed accordingly. 8.

Fund of Corporation: (1) There shall be a Corporation Fund consisting of the following sums, and all sums required to be expended on behalf of the corporation shall be defrayed from that Fund:- (a) Sums given as grants to the corporation by the Government of Nepal or any other person, and (b) All sums received by the corporation from its property, transactions, or loans. (2) All cash of the corporation shall be deposited in an account called the "Corporation Fund" in the Nepal Rastra Bank where such Bank exists, and in any other local bank where such Bank does not exist. 9. Accounts of Corporation, etc.: (1) All registers and records of the income, expenditure, and accounts of the corporation shall be maintained as prescribed by the Government of Nepal. (2) The accounts of the income and expenditure of the corporation shall be audited every year by an auditor appointed by the Government of Nepal, and it shall be the duty of such Director or employee of the corporation to provide any document or information requested by such auditor in the course of performing his or her duties. (3) After completing the audit of the books, the auditor shall prepare a report

on the audit clearly mentioning the following matters, and shall submit one copy of such report to the Government of Nepal and another copy to the corporation:- (a) Whether the profit and loss account prepared by the corporation contains the items that should be included, and whether the accounts show the true financial position of the corporation, (b) Whether the submitted income and expenditure accounts are regular, (c) Whether any requested document, explanation, or information was provided or not, and if provided, whether it is satisfactory, (d) Whether the method of maintaining the accounts of the corporation is correct, and (e) Any other matter considered necessary by the auditor. 10. Power to Give Directions to Corporation: The Government of Nepal may give necessary directions to the corporation for the proper management and smooth operation of the corporation, and it shall be the duty of the corporation to comply with such directions. 11. Liaison with Government of Nepal: When the corporation liaises with the Government of Nepal in the course of its work and activities, or when the Government of Nepal gives any direction to the corporation pursuant to section 10, such liaison or direction shall be made or given through the concerned department. 12.

Protection of Officers Regarding Loss or Damage: No Director or any employee of the corporation shall be personally liable for any loss or damage caused by anything done or attempted to be done in good faith for the purpose of performing his or her duty under this Act or the regulations made under this Act. 13. Penalties: (1) Any person who knowingly or with mala fide intention shows a false fact, suppresses a true fact, or alters the content in any detail, account, report, or any other document required to be kept, prepared, or submitted under this Act or the regulations made under this Act, or attempts to do so, shall be liable to imprisonment for up to three years or a fine of up to three thousand rupees, or both. (2) If any Director or any employee of the corporation knowingly, negligently, or with mala fide intention does any act or thing other than those mentioned in sub-section (1) and causes loss or damage to the corporation, he or she shall be liable to imprisonment for up to one year or a fine of up to one thousand rupees. (3) If any Director or any employee of the corporation obstructs or opposes the auditor appointed under section 9 or any other authorized officer in the performance of his or her work, or without any reasonable cause fails to provide the necessary document, explanation, or information requested by him or her, he or she shall be liable to a fine of up to one thousand rupees. (4) If any loss or damage is caused to the corporation by an offence punishable under this section, the amount of such loss or damage shall also be recovered from the persons committing such offence according to the principle of joint and several liability. 14. Dissolution: If it appears necessary to dissolve any corporation for any reason, the Government of Nepal may, by notification published in the Nepal Gazette, dissolve such corporation, and after such notification is published accordingly:- (a) All property and liabilities of such corporation shall vest in the Government of Nepal, and (b) All contracts and agreements entered into by such corporation shall, except those made with mala fide intention, be deemed to have been entered into with the Government of Nepal. Added by the First Amendment effective from 2030 Shrawan 1.14A.

Transfer of Property and Liabilities of Dissolved Corporation to Other Institutions and Corporations: If any corporation is dissolved pursuant to section 14, the Government of Nepal may, by notification published in the Nepal Gazette, with the consent of any institution formed under any other prevailing Nepal law or any corporation formed under this Act, assign to such institution or corporation all property and liabilities of the dissolved corporation that vest in the Government of Nepal, and upon such assignment, the contracts and agreements entered into by the dissolved corporation shall be deemed to have been entered into with the institution or corporation to which the property and liabilities of the dissolved corporation are assigned, and the provisions of the Nepal law relating to such assigned institution or corporation shall apply in that regard. 15. Complaint and Proceedings of Cases: (1) Cases punishable under this Act may be instituted only upon a complaint by the corporation or the concerned department, and the concerned department may, in

accordance with sub-section (2), initiate proceedings in cases within its jurisdiction even without any complaint. Amended by the Judicial Administration Reform (Fourth Amendment) Act, 2043. (2) The concerned department shall have the authority to conduct proceedings and decide cases relating to offences punishable under sub-section (3) of section 13, and an appeal against the judgment or final decision made by the concerned department shall lie to the Amended by the Certain Nepal Acts Amendment Act, 2072. High Court. (3) Deleted by the Certain Nepal Acts Amendment Act, 2072 16. Power to Make Regulations: (1) For the purpose of fulfilling the objectives of this Act and regulating all its work and activities, every corporation may make its own regulations. Provided that such regulations shall not come into force until approved by the Government of Nepal. (2) Without prejudice to the generality of the power conferred by sub-section (1), the corporation may, in particular, make regulations on the following matters:- (a) The work to be done by the corporation and the manner thereof, (b) The manner and procedure of the work of the Board of Directors, (c) Matters relating to the branches or sub-branches of the corporation, (d) Appointment, promotion, facilities, discipline, and other terms and conditions of service of the employees of the corporation, (e) Operation of the fund of the corporation, (f) Procedure, authority, etc. for entering into contracts, leases, or agreements on behalf of the corporation, and (g) Other matters necessary for the smooth and orderly conduct of its work and activities.